

Katie Porter Calls Out Big Pharma

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According to congresswoman Katie Porter, what is the problem?

The problem is that the American healthcare system lacks price transparency and competition, which allows big insurance and big pharma companies to price gouge consumers and taxpayers. Americans are not getting fair value for what they pay.

Who is falling prey to whom?

Consumers and taxpayers are falling prey to big insurance and big pharma companies, who exploit the absence of a healthy, competitive market to raise drug prices freely.

A detailed account of the situation

- Time frame: The first 25 days of 2022
- Price increase: Prices rose by 10% or more for drugs classified as having an “extraordinary price increase”
- Proportion of most common drugs whose price evolved: 72% of the nation’s top 100 drugs increased in price
- Number of prescription drugs concerned: 118 drugs had an extraordinary price increase

Fill in the blanks

What’s wrong with our healthcare system is that we don’t have a healthy market. I’m a champion for capitalism, but that means we need to have things like price transparency, and competition. Price transparency lets you figure out what things cost, and competition means that there are multiple sellers in the marketplace bringing down the price. We lack both these things in healthcare and pharmaceuticals, and that’s why they’re able to price gouge you.

The top 3 drugs

Drug	Prescribed for ...	Price	%
HUMIRA	Autoimmune diseases	+\$662	7.4%
IMBRUVICA	Slowing the growth of cancer cells	+\$1,472	7.4%
IBRANCE	Treating breast cancer	+\$91	6.9%

What’s the equivalent for “an increase in price”?

1. “This steep increase in price was prompted by inflation only, and generated no positive outcome for any of the part-takers.” **FALSE**

The price increases are attributed to a lack of market competition and transparency, not inflation. Furthermore, the CEOs of the three largest pharma companies benefited greatly: “In 2018, the CEOs of the nation’s three largest pharma companies received pay of \$90 million.”

2. “Both sides of the political spectrum are to blame for this situation.” **FALSE**

Porter explicitly places the blame on Republicans: “Democrats are working to solve that, but Republicans are standing in the way. In fact, almost every Republican in the House actually voted against reducing the price of insulin to \$5.”

3. “The issue could be better described as a situation in which the interests of the companies prevail over the Greater good.” **TRUE**

Porter frames the situation as “corporate abuse” that harms everyday Americans: “We need to stand up to this corporate abuse and we need to hold people accountable who are refusing to make

healthcare more affordable for you.” While Americans paid \$535 billion for prescription drugs, CEO pay alone reached \$90 million, illustrating how corporate profit takes priority over public welfare.